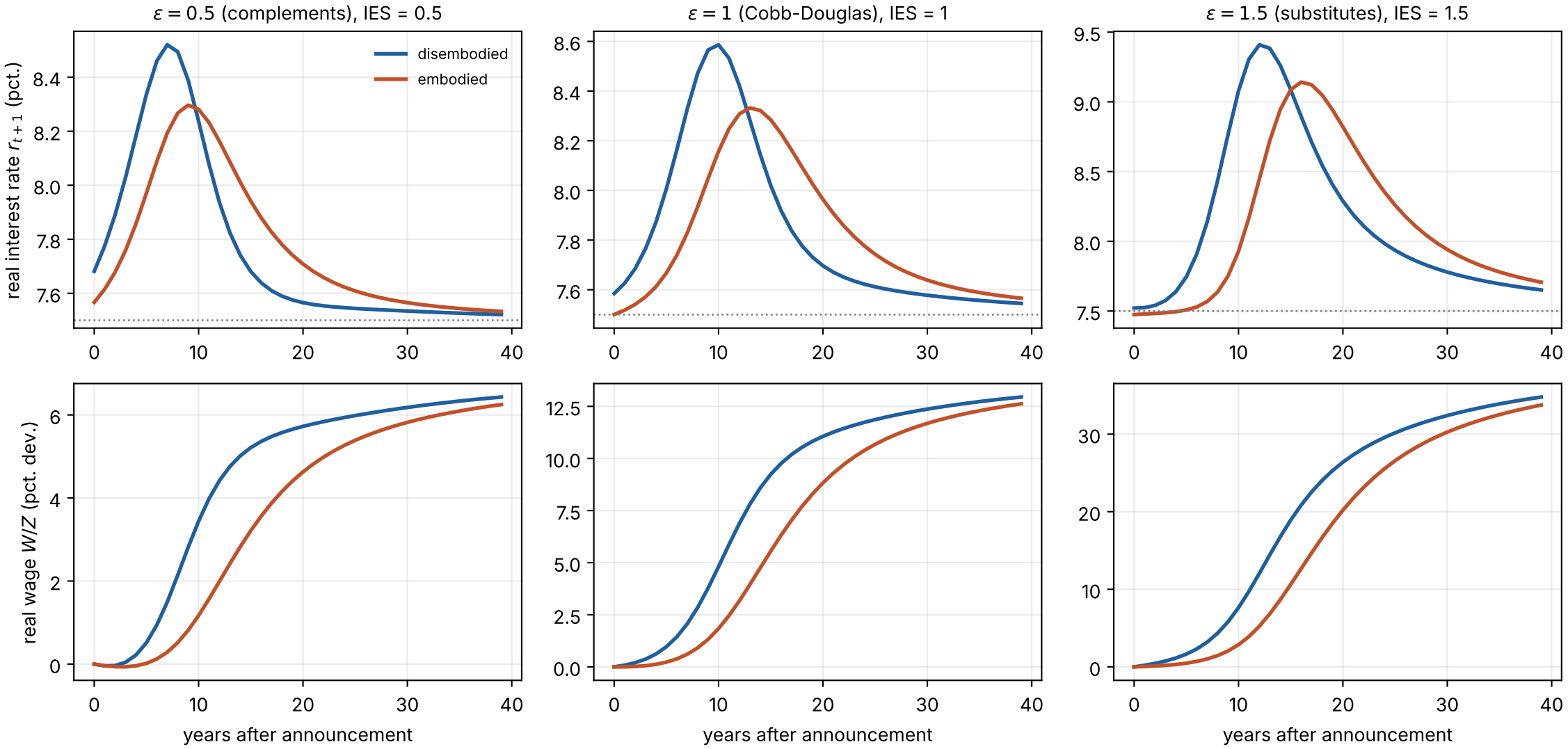
Exact solutions, CES production with CES accumulation: 20-fold S-curve fall in the cost of AI
ε = 0.5 (complements), IES = 0.5
ε = 1 (Cobb-Douglas), IES = 1
ε = 1.5 (substitutes), IES = 1.5
disembodied
embodied
real interest rate r_{t+1} (pct.)
real wage W/Z (pct. dev.)
years after announcement
years after announcement
years after announcement